Earnings update · Semiconductors

TSMC Q3 2026: AI outruns capacity, margins are the debate

15 October 2026 · Syz Research

> **“Demand is extremely robust.” … “There is no ceiling for [TSMC’s] profitability.”**
>
> C.C. Wei, Chief Executive Officer, Q3 2026 earnings call, 15 October 2026 (as reproduced in analyst research notes)

Key takeaways

Beat Revenue of USD 46.7bn (+41% year on year) and EPS TWD 29.43 both beat consensus by about 3%.

Raised The Q4 guide of USD 52.3–54.3bn sits 5–8% above prior consensus, locking in 44% growth for 2026.

Watch Gross margin of 66.4% missed by 0.6 points on 2nm dilution; overseas fabs cost 3–4 points in 2027.

Valuation 19.7x forward earnings: 16% above the 2005 to 2026 average, well below the one-year average of 23.3x.

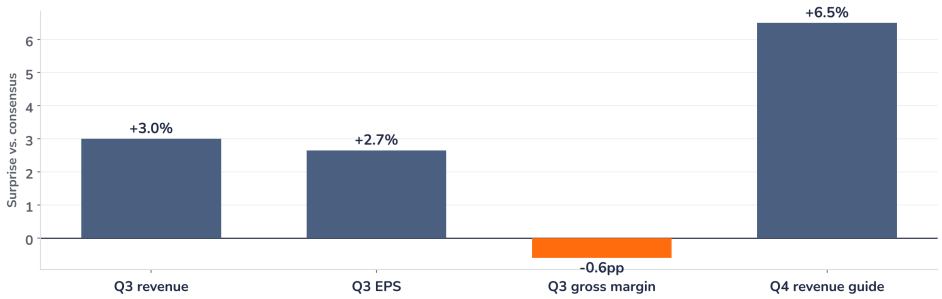
Q3 revenue	Q3 EPS	Q3 gross margin	Q4 revenue guide
USD 46.7bn	**TWD 29.43**	**66.4%**	**USD 53.3bn**
+3% vs. consensus	+2.7% vs. consensus	–0.6pp vs. consensus	+5–8% vs. consensus

AI now sets the pace, not the cycle

The quarter matters less for the 3% beat than for what management said about the years ahead. Taiwan Semiconductor Manufacturing Company (TSMC) now expects revenue from artificial intelligence (AI) accelerators to grow faster than the mid-to-high 50s% annual pace it guided for 2024 to 2029, and plans to more than double its 2-nanometre (2nm) capacity in 2027. Demand is no longer the question: the debate has moved to how much of it reaches margins and free cash flow.

Chart 1 · TSM: Q3 2026 results and Q4 guide vs. consensus

Surprise vs. pre-results consensus in %, gross margin in percentage points · Q4 guide at its USD 53.3bn midpoint vs. prior consensus · Revenue and margin consensus approximate



The pattern is clear: the top line beat, the margin slipped. Revenue and earnings per share (EPS) both beat consensus by about 3%, and the fourth-quarter guide sits around 6.5% above prior expectations, a 14% sequential step-up. The only miss was gross margin, 0.6 points short at 66.4%, entirely from the 2nm ramp, which should fade as yields improve.

Base case and implications

We stay positive on TSMC and would add on weakness around the results. We underwrite US dollar revenue growth of 44% in 2026 and an AI business compounding at more than 50% a year; consensus 12-month forward EPS is already up 99% over the past year. The debate has moved from demand to returns: capital spending of USD 60–64bn this year rises sharply in 2027 to 2028, and overseas fabs dilute gross margin by 3–4 points, which analysts expect pricing to cut to about 1 point. Tactically, the American depositary receipt (ADR) sits 13% below its 2 October record. The next test is the fourth-quarter release in mid-January 2027.

What would strengthen our view

Fourth-quarter gross margin at or above the 67% top of guidance in January; AI accelerator growth confirmed above the mid-to-high 50s% pace; 2nm yields fast enough to lift 2027 capacity beyond the planned doubling; subsidies or customer commitments funding the Dallas complex.

What would change our view

Gross margin below 65%, the bottom of the fourth-quarter guide, and staying there through the 2nm and A14 ramps; capital spending above USD 100bn in 2027 without matching revenue; higher US tariffs on chips; an AI derating that takes the multiple below its 17.0x average.

Beyond the key takeaways

Results: volume beat, 2nm dented the margin

Third-quarter revenue of USD 46.7bn rose 16.2% quarter on quarter, above guidance, and 41% year on year, about 3% ahead of consensus. High-performance computing (HPC), smartphones and automotive led demand, and the strength was broad rather than a single product cycle. Operating leverage was strong: the operating margin reached 58.7%, ahead of expectations, and EPS of TWD 29.43 beat the TWD 28.67 consensus by 2.7% and rose 69% year on year, in line with net income. This is the third consecutive quarter of beat-and-raise, and it came with an upgrade to the multi-year AI outlook, with agentic AI named as an additional growth engine on top of the cloud AI build-out.

Gross margin was the one soft line. At 66.4% it came in about 0.6 points below elevated expectations of 67% and 1.3 points below the 67.7% of the second quarter, a decline management attributes entirely to the dilution from the 2nm ramp. We read this as a cost of leadership rather than pricing pressure: the dilution was limited for a first-year node, and analysts see it as support for scarcity-driven pricing in 2027. Analyst estimates put 2026 return on equity near 44%, with a net cash balance sheet, so the margin step-down does not constrain the investment plan.

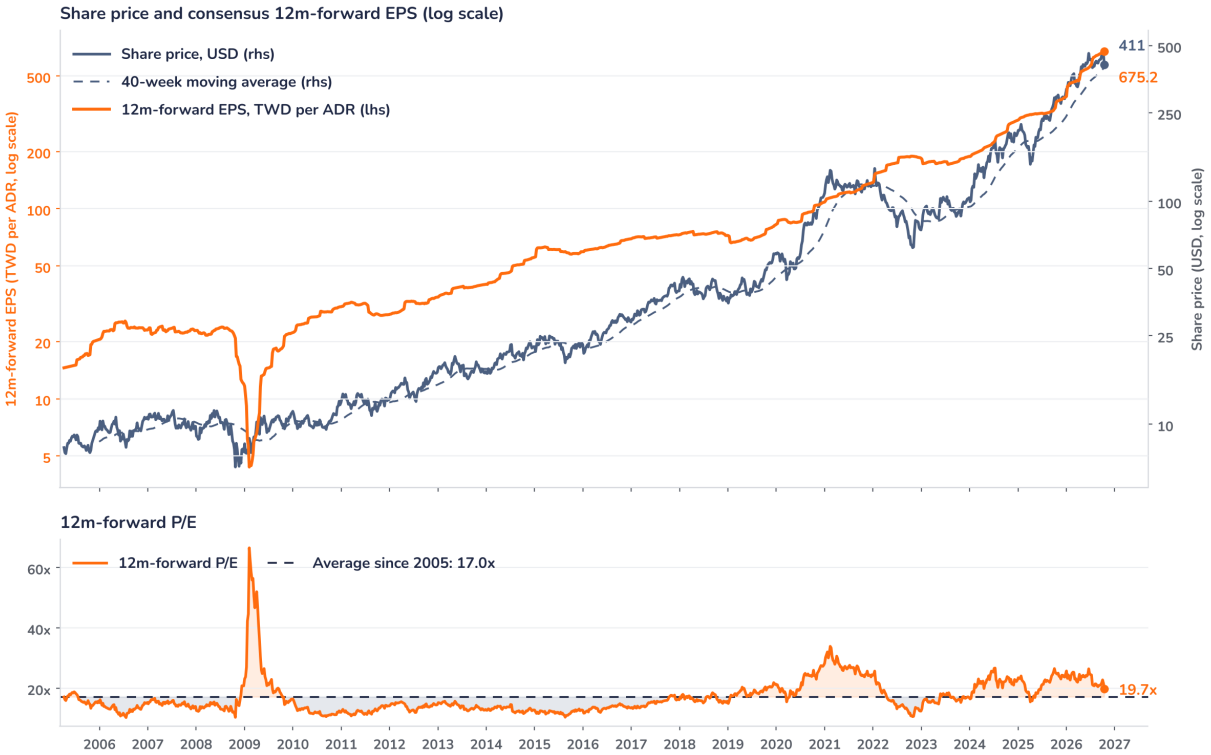
Outlook: capacity, not demand, is the limit

The fourth-quarter guide of USD 52.3–54.3bn, with gross margin of 65–67%, implies 44% US dollar revenue growth for 2026. Capital spending stays at USD 60–64bn this year, but 2026 to 2028 spending is guided well above the USD 101bn of the previous three years; analyst estimates range from USD 80–85bn to USD 90bn for 2027 and reach USD 105bn for 2028. Capacity follows: 2nm more than doubles in 2027, Arizona Fab 2 (3nm) starts volume production in the third quarter of 2027, and a Dallas complex could take planned US investment to about USD 530bn. Overseas margin dilution rises from about 2 points in 2026 to 3–4 points in 2027.

Valuation: earnings did the work, not the multiple

Chart 2 · TSM: share price vs. consensus earnings and valuation

ADR in USD, weekly, April 2005 to 15 October 2026 · Bloomberg 12m-forward consensus EPS in TWD per ADR · 40-week simple moving average · Log scale · Last price is the 15 October (results day) print



Over 12 months the ADR is up 46% to USD 411 while consensus 12-month forward EPS rose 99% to TWD 675 per ADR, so the forward price-to-earnings ratio (P/E) fell from 25.3x to 19.7x. That is 16% above the 17.0x average since 2005, but below the one-year average of 23.3x and the 33.9x peak of February 2021. The price is 13% below its 2 October record and 3% above its 40-week moving average of USD 397. Analysts put the stock at about 16x 2027 earnings; a 10% upgrade at an unchanged price takes the multiple to 17.9x, near its average.

SYZ Source: Syz Research, Bloomberg, company filings, analyst research notes of 15 October 2026

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